

Charging GST output tax [¶32-020]

[¶32-020]

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Section 8 of the GST Act states that GST is charged on supplies:

- # in New Zealand
- # on goods and services
- # on or after 1 October 1986
- # by a registered person
- # in the course or furtherance of a taxable activity, and
- # by reference to the value of that supply.

GST is not charged on exempt supplies.

Supply

The GST Act does not give an exhaustive definition of “supply” but gives the general definition: “‘supply’ includes all forms of supply” (s 5(1)). This suggests that it is intended to cover almost all types of transactions. The making available to another party of an identifiable commodity appears to be the essential element of supply. Therefore, sales, gifts, leases, loans and transmissions under wills are all “supplies”. In addition, specific activities are deemed to be supplies where they might not otherwise be considered to be so (¶32-023).

Supplies made in New Zealand

From 1 April 2024, several amendments were made to the GST “place of supply” rules to reduce compliance costs for users of these rules and create consistency with similar rules currently used for imported remote services and distantly taxable goods.

The remote services and distantly taxable goods rules allow non-resident suppliers to use certain commercial proxies, assumptions, or practices to determine whether their supply is a taxable supply to a New Zealand resident consumer. This minimises compliance costs for these suppliers. However, other types of suppliers can also find it difficult to determine the tax residency of their customers or whether their customers are GST-registered businesses.

Under s 8(2)–(4) of the GST Act, a supply is deemed to be made in New Zealand if the supplier is resident in New Zealand or is non-resident but the goods are in New Zealand at the time of supply or the services are physically performed in New Zealand. An exception exists for non-residents who make supplies to registered persons. In that case, the supply will be treated as being outside New Zealand unless the supplier and the recipient agree that the supply will be treated as if it was made in New Zealand.

A special rule exists that may deem imported services to be made in New Zealand and therefore subject to the reverse charge regime. In this case, the resident recipient will be liable to account for GST on the service.

From 1 October 2016, services are also treated as being supplied in New Zealand when a non-resident supplier supplies remote services to a New Zealand resident, unless the services are physically performed in New Zealand by a person who is in New Zealand at the time the services are performed. However, supplies of remote services by non-resident suppliers to New Zealand GST-registered recipients for their taxable activity are treated as being supplied outside New Zealand, unless the supplier chooses otherwise. Where the supplier chooses to treat the supply as made in New Zealand, the supply is zero-rated (¶32-680).

From 1 December 2019, supplies of low-value imported goods by non-resident suppliers to New Zealand residents are also treated as being supplied in New Zealand. However, supplies to New Zealand GST-

registered recipients for their taxable activity are treated as being supplied outside New Zealand, unless the non-resident supplier chooses otherwise ([¶132-660](#)).

Interpretation statement, [IS 21/07](#), “GST – Definition of a resident” provides guidance on how to determine whether a person is a resident for GST purposes. The importance of determining whether a person is a New Zealand resident for GST purposes is that it may affect whether GST needs to be charged on any supplies made to that person. It is also relevant to whether the person is required to charge and account for GST on supplies they make in New Zealand and whether a person can or is required to register for GST in New Zealand. The statement summarises the ways the GST definition of “resident” differs from the income tax definition as follows:

- # By extending it to include a person who has a “fixed or permanent” place in New Zealand where that place is related to a taxable activity carried on by the person in New Zealand.
- # For unincorporated bodies, it provides for a residence test based on its centre of administrative management.
- # For individuals, the definition differs for the commencement and end dates of residency when applying the day-count test.

The interpretation statement discusses each of these differences and provides a number of examples.

See [¶132-148](#) for commentary on the requirement to register for GST in New Zealand.

In the course or furtherance of a taxable activity

Taxpayers are liable to GST on all supplies made “in the course or furtherance” of any taxable activity they conduct. This requirement usually ensures that GST will not be charged on personal supplies, eg a supply is made in the course or furtherance of a taxable activity when a retailer sells business stock. A supply is not made in the course or furtherance of a taxable activity if a residential home that has always been exclusively for private purposes is sold by the retailer.

Secondly, the requirement is sufficiently broad to cover any supplies made “in connection” with a taxable activity. It readily includes, for example, the sale of capital assets used in the carrying on of a taxable activity. There is also no basis in [s 8](#) to apportion output tax for sale assets that had a mixed use. As noted in *Case K55 (1988) 10 NZTC 453*:

Section [8](#) does not provide for any apportionment of the supply being in the course or furtherance of a taxable activity and being for any other purpose or object, by such words as “to the extent of” or “so far as”; such phrases, or phrases of that nature being commonly found when apportionment is intended in the legislation.

In *Hibell v C of IR (1991) 13 NZTC 8,195*, a fisherman who sold unwanted transferable fishing quota was liable for GST. Fraser J rejected the fisherman’s argument that GST should be imposed only on the sale of his catch as the transfer of the quota was an extraordinary transaction that was neither in the course nor in furtherance of his taxable activity.

In *Case N43 (1991) 13 NZTC 3,361*, the Taxation Review Authority confirmed that [s 8\(1\)](#) imposes GST on supplies relating to both the taxpayer’s principal and any secondary activities.

Once a taxpayer is registered for GST, any supply made in connection with any taxable activity may be caught even though the taxpayer may not be liable to be registered for those secondary activities under [s 51](#).

Output tax will only be imposed where goods and services are actually supplied. This requirement was demonstrated in *C of IR v New Zealand Refining Co Ltd (1997) 18 NZTC 13,187 (CA)* and *Chatham Islands Enterprise Trust v C of IR (1999) 19 NZTC 15,075 (CA)*. In *New Zealand Refining Co* Blanchard J explained (at 13,193):

It is fundamental to the GST Act that the tax is levied on or in respect of supplies. It is not a tax on receipts or on turnover; it is a tax on transactions. It is therefore necessary to distinguish between supplies and the taxable activity in the course of which they are made. The definition in [s 6](#) itself requires a nexus between a supply and consideration.

Law: GST ss [5](#), [8](#)

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